

BOARD OF CBA

MINUTES

(23.06.2015)

On the Refinancing Rate of June 23, 2015

The CBA Board Meeting of June 23, 2015 attended by Chairman Arthur Javadyan, Deputy Chairman Nerses Yeritsyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan, Oleg Aghasyan and Vaghtang Abrahamyan.

The Board Meeting opened with presentation of Situation Report as of June 23, 2015. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

There was 0.5 percent deflation recorded in May of 2015. This resulted in an increased 12-month inflation rate in comparison with the previous month, which amounted to 5.1 percent in May. The month's deflation was driven totally by a 0.52 pp decrease in prices of food products, with prices in "vegetable and potato", "egg", "meat products" and "dairy products" having fallen by 8.6 percent, 4.9 percent, 0.7 percent and 1.2 percent, respectively. The 12-month core inflation rate kept on declining: in May it amounted to 3.5 percent. At the same time, the Board estimates that the direct and indirect effects of the electricity tariff increase since August on annual inflation will amount to nearly 1.3 pp.

Over the past five months of 2015, the economic activity indicator has grown by 2.7 percent due largely to growths registered in agriculture and industry. In terms of demand, the economic activity in the period mentioned above was fostered by the implementation of fiscal policy, the impact of which on aggregate demand has been consistent with projection and is an estimated 4.9 expansionary. In the second quarter of 2015, private consumption and private investment further trended down, though at a slower-than-expected pace.

A complete picture of foreign trade indicators for January-May 2015 is still lacking as not all key data of mutual trade between the Eurasian Economic Community countries have been so far within reach. The data will be presented in upcoming releases once these become available.

The Board reflected on the developments in the financial market where, in the period March-June 2015, interest rates followed a downward path. As a result, as of June 16, 2015, relative to the same reference period last month, average monthly interbank repo rate has been 10.6 percent (representing a 1.0 pp drop), average market rate of treasury bills with up to 1-year of maturity has been roughly 12.4 percent (demonstrating a 3.7 pp decrease) and average interbank lending rate has been 11.6 percent (denoting a 3.7 pp reduction).

In the domestic foreign exchange market, the Armenian dram exchange rate followed relatively a steady path during the last two months of the second quarter. As of June 16, 2015, relative to the same reference period last month, average dram exchange rate has depreciated versus the U.S. dollar by 0.7 percent to AMD 478.5; versus Euro by 3.4 percent to AMD 534.7, and versus the Russian ruble by 2.4 percent to AMD 9.2.

In the second quarter of 2015, world economic growth rates kept on recovering sluggishly and were largely in line with projected levels. Deflationary patterns were further observable in basic commodity and food product markets of the world. The Food and Agriculture Organization's Food Price Index of June 4, 2015 came out with 1.4 percent drop in May against the previous month's index (with as much as 20.7 percent reduction in relation to the same period of the previous year). Based on the U.S. Department of Agriculture and New York Board-Intercontinental Exchange data, export prices of Hard Red Wheat and Rough Sugar are expected to fall by 16.9 percent q/q (with 32.2 percent decrease y/y) and 27.3 percent q/q (with 6.2 percent decrease y/y), respectively.

According to the Central Bank estimates, average price of "Brent" crude, as quoted at Intercontinental Exchange, will plunge by 5.8 percent during the second quarter of 2015 against the previous quarter (with as much as 43.2 percent reduction y/y). At London Metal Exchange, the copper price will rise by 3.7 percent q/q (with 9.9 percent decrease y/y).

Depreciation of Euro versus the U.S. dollar was 1.9 percent in the second quarter of 2015 and 19.4 percent against the same period of the previous year.

Following presentation of the Situation Report, the Board began discussing the developments in external and domestic macro-environments as well as the monetary policy directions.

In external environment, slow global economic growth trends persisted. In this situation, a deflationary environment was further observable in world food product markets, whereas world market of basic commodities reported higher-than-expected oil prices, driven by strong seasonal demand for oil products, reduction in the U.S. inventories as well as expectations for reduced supply. However, the Board finds that inflationary effects from the external sector in the coming months are not likely.

The Board notes that the macroeconomic stability achieved early this year continues contributing to the recovery of economic activity. In the period January-May 2015, the economic activity indicator has grown by 2.7 percent mainly due to the growths reported in agriculture and industry. It is estimated that positive development in agriculture will be maintained, which would keep prices of agricultural products at the lower levels in comparison with the same reference period last year. The above deflationary effects will be offset by the rise in electricity tariffs scheduled in August. Also, given the refinancing rate persists at the current level, the 12-month inflation rate will hover in the upper bound of the confidence band up until the end of the year; since 2016, it will stabilize around the target.

The CBA will react to economic developments in both external and domestic environment through an appropriate adjustment of its monetary policy, while making sure the inflation target is fulfilled in the medium run.

In the June 23, 2015 meeting, the Board of the CBA decided to leave the Refinancing Rate unchanged, at 10.5 percent. The Lombard Repo Facility Rate and Deposit Facility Rate were left at 12.0 and 9.0 percent levels, respectively.

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